

English translation published in March 2026

# Monthly Report of Prospects for Japan's Economy

February 2026

Macro-economics Research Center  
Economics Department



The Japan Research Institute, Limited

<https://www.jri.co.jp/en/reports/reports/>

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# The General Situation – The economy is gradually recovering, though activity has stalled in some areas

Figure 1-1 Economic Activity

The coincident index of business conditions is falling slightly. The leading index is picking up.

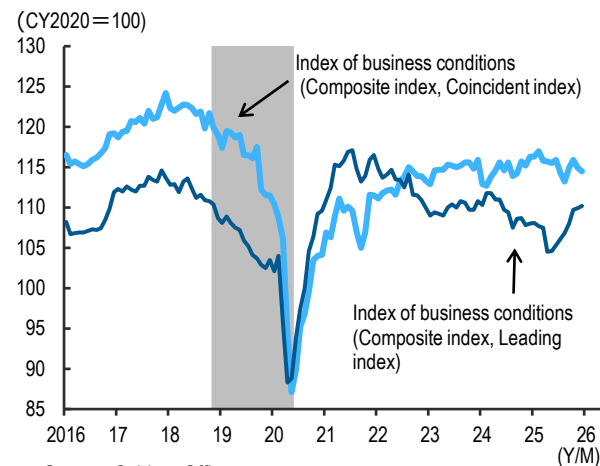


Figure 1-2 The Corporate Sector

Industrial production is fluctuating. Economic activity in the service sector is recovering.

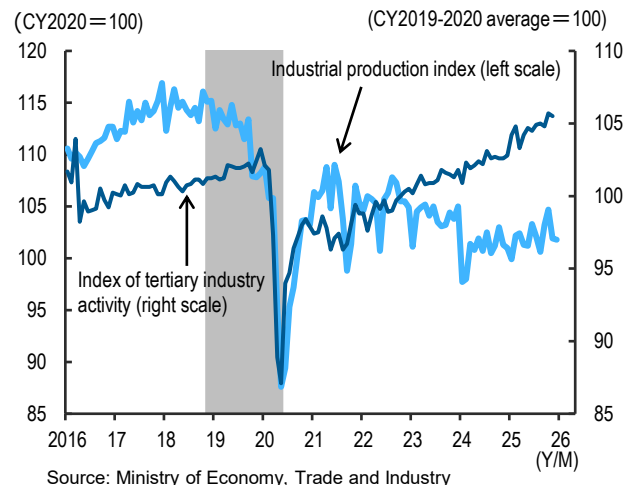


Figure 1-3 External Demand

Exports are showing signs of bottoming out. Imports are weak.

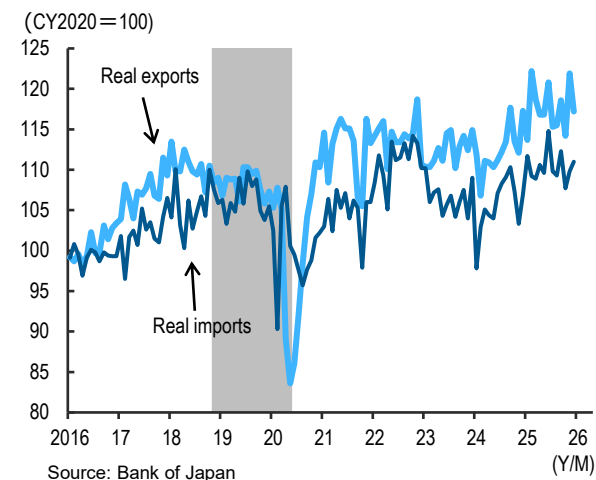


Figure 1-4 Employment and Income

The unemployment rate is low, hovering around 2.5%. Nominal wage growth is solid on average.

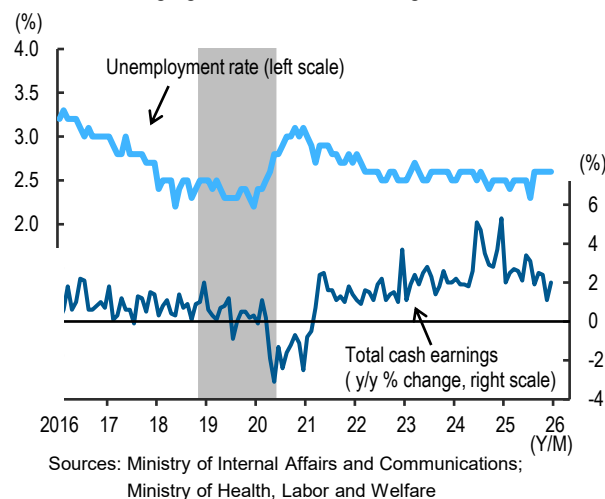


Figure 1-5 The Household Sector

The recovery in consumption has stalled. Housing starts are weak.

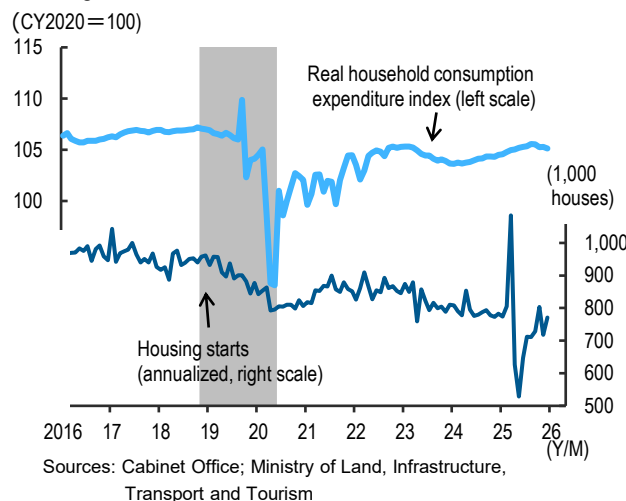
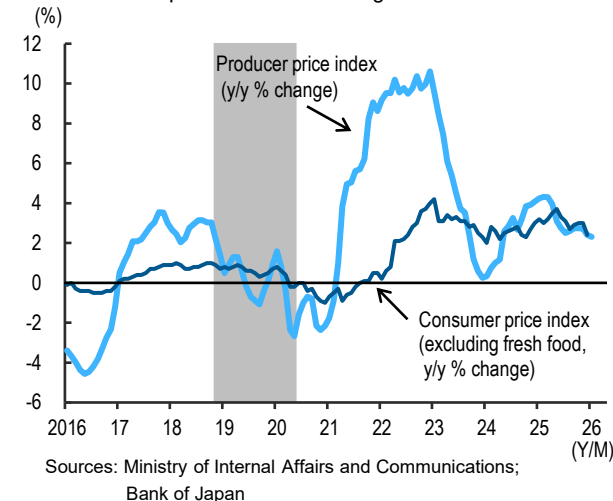


Figure 1-6 Prices

Producer price inflation is slowing, particularly in energy. Consumer prices are also slowing.



\* The shaded area represents the period during which the Japanese economy was in recession.

# Annualized real GDP growth was 0.2% quarter over quarter (QoQ) in Q4 2025

## ◆ Positive growth is being driven by domestic demand

Annualized real GDP growth in the fourth quarter was 0.2% QoQ, the first positive growth in two quarters. While exports were weak, personal consumption increased for the fourth straight quarter, and housing investment rebounded due to policy factors.

## ◆ Production in the manufacturing sector is fluctuating

In December 2025, the Industrial Production Index slipped 0.1% month over month (MoM). Lower output of production machinery and automobiles pushed down the overall figure.

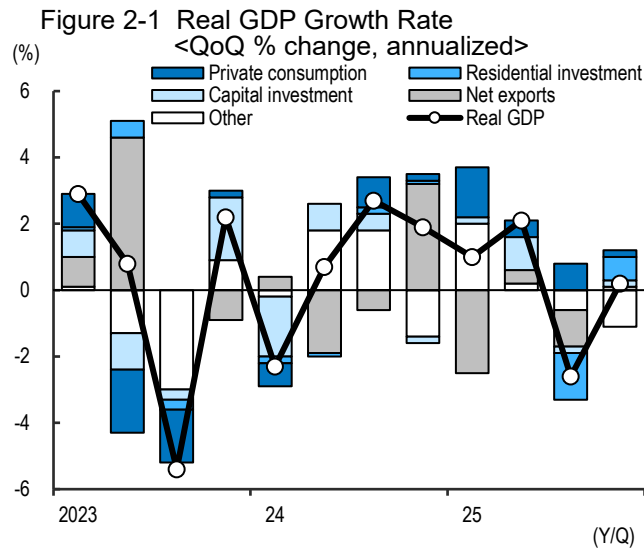
According to the Industrial Production Index Forecast (adjusted based on past forecasting errors), near-future production plans indicate a jump in output of 7.2% MoM in January 2026, with the overall figure being pushed up by sectors such as transportation machinery and general-purpose and business-oriented machinery.

## ◆ Housing starts are weak

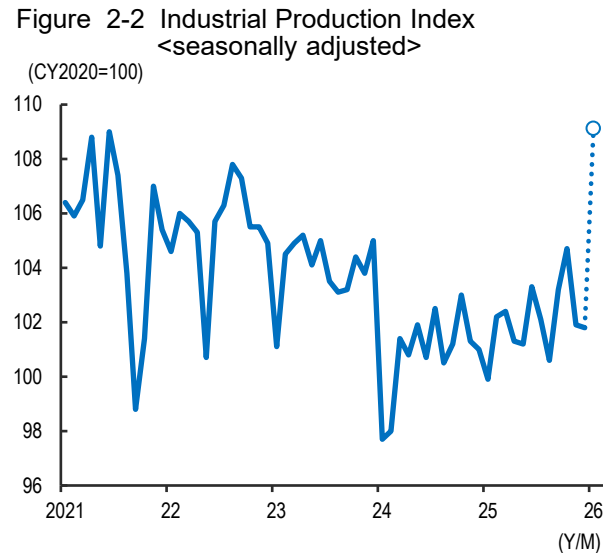
Housing starts were down 1.3% year over year (YoY) in December 2025. For the full year of 2025, the figure was 740,000 units (down 6.5% YoY), registering a YoY decline for the third consecutive year. Rising construction costs and a stricter, slower screening process due to legal changes have created downward pressure.

## ◆ Import prices are falling

Import prices (in yen terms) were lower than a year earlier in almost every month of 2025. In the latter half of the year, a weaker yen lifted import prices, but price factors centered on energy products such as crude oil pushed down the overall figure, easing inflationary pressures from the import side.



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office



Source: Ministry of Economy, Trade and Industry  
Note: The latest data is based on the adjustment value (Jan) calculated by the Ministry of Economy, Trade and Industry based on past adjustment patterns.



Source: Japan Research Institute, Ltd. based on data from the Ministry of Land, Infrastructure, Transport and Tourism

# The pace of the recovery in external demand is moderate

## ◆ Goods exports seem to be bottoming out

Goods exports have stopped falling. By country/territory, exports to the U.S. slumped through the middle of the year due to the impact of the Trump tariffs, but have showed signs of bottoming out recently, particularly in automobiles. In addition, exports to the EU and ASEAN countries, centered on automobiles and capital goods, continue to rise, and this is supporting exports overall.

Looking ahead, goods exports should remain firm. Exports of IT-related goods are expected to lift goods exports overall, thanks in part to the global AI boom. In addition, the resilience of the world economy will provide a tailwind for goods exports. According to the IMF, in 2026 the global economy is projected to maintain a similar growth rate to the previous year. While the slowdown in the Chinese economy will weigh on growth, support will be provided by looser fiscal and monetary policies in the U.S. and Europe.

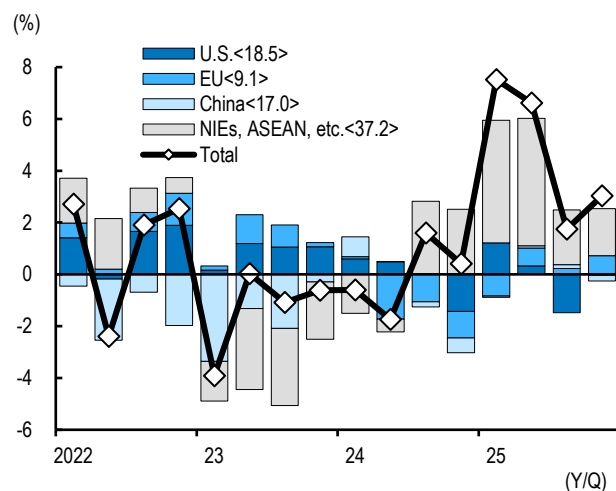
## ◆ Deterioration in Japan–China relations is depressing inbound tourism demand

Inbound tourism demand remains robust. In December 2025, the number of

Chinese visitors to Japan fell 45.4% YoY as the impact of worsening Japan-China relations became apparent. However, thanks to demand for travel to Japan from countries other than China, total inbound tourism demand rose 3.7% YoY, keeping growth in positive territory.

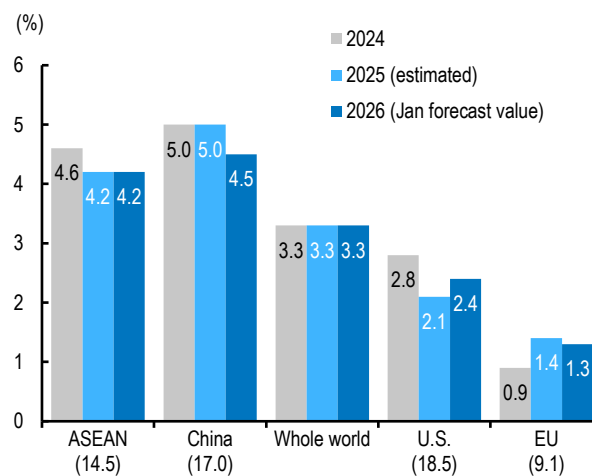
A near-term collapse in inbound tourism demand should be avoided. Although there are concerns about the impact of a protracted slump in the number of Chinese people visiting Japan as a result of them being told to refrain from doing so by their government, the ongoing weakness of the yen is expected to support overall demand for travel to Japan. Estimates indicate that even if the number of Chinese travelers to Japan halves due to the deterioration in Japan-China relations, Japan is likely to receive more than 40 million foreign visitors in 2026, on par with the level recorded in 2025.

Figure 3-1 Real Exports by Partner Country  
<contributions to QoQ>



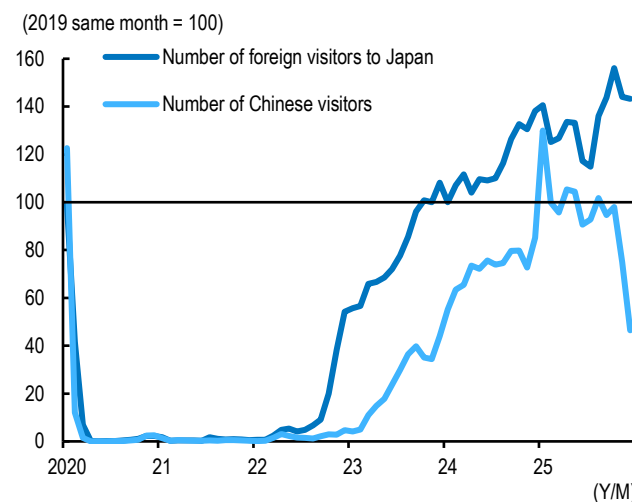
Source: Japan Research Institute, Ltd. based on data from the Bank of Japan  
Note: Figures in angle brackets represent the overall percentage of total nominal exports in 2025.

Figure 3-2 IMF Real GDP Growth Outlook



Source: Japan Research Institute, Ltd. based on data from the Ministry of Finance and IMF  
Note: Figures in angle brackets represent the overall percentage of total nominal exports in 2025. ASEAN refers to the five major countries.

Figure 3-3 Number of Foreign Visitors to Japan



Source: Japan Research Institute, Ltd. based on data from the Japan National Tourism Organization

# The employment/ income situation for households is favorable

## ◆ Personal consumption is gradually increasing

Shored up by a favorable employment/income environment, personal consumption is gradually recovering. In most months since the middle of 2024, the total real income of employees has risen YoY. Although per-employee real wages are static due to inflation, an increase in the number of people employed, particularly in non-manufacturing sectors, is pushing up the household income overall.

## ◆ Large wage increases set to be realized

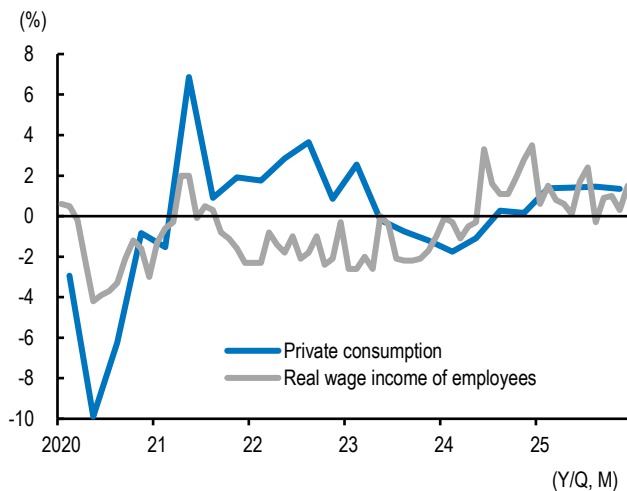
Looking ahead, personal consumption is expected to continue its recovery, supported by higher real incomes of employees. With labor supply reaching its ceiling, the pace of increase in the number of employees looks set to slow, but nominal wages are projected to continue rising rapidly.

Amid persistent inflation, pressure from labor unions for wage increases is strong. Rengo (Japan's largest union group) is sticking with the same wage increase target as the previous year, and industry-specific unions are also seeking wage hikes at or above the previous year's.

Employers also remain committed to raising wages. Keidanren (Japan Business

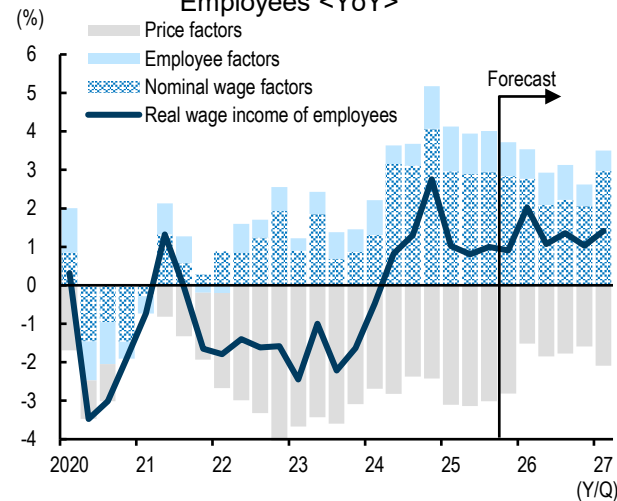
Federation) has called for the establishment of strong momentum for wage increases, and is asking employers to consider raising base pay in particular. According to a survey by the Institute of Labour Administration, 66.4% of companies plan to increase base pay at the 2026 shunto (spring wage negotiations). This is a bigger proportion than in the previous year, so the momentum for wage hikes could be becoming more widely and deeply established. Given these stances on the labor and management sides, it is highly likely that generous wage increases will be seen again this year. And with inflation slowing, per-employee real wage growth should also turn positive before long.

Figure 4-1 Private Consumption and Real Wage Income of Employees <YoY>



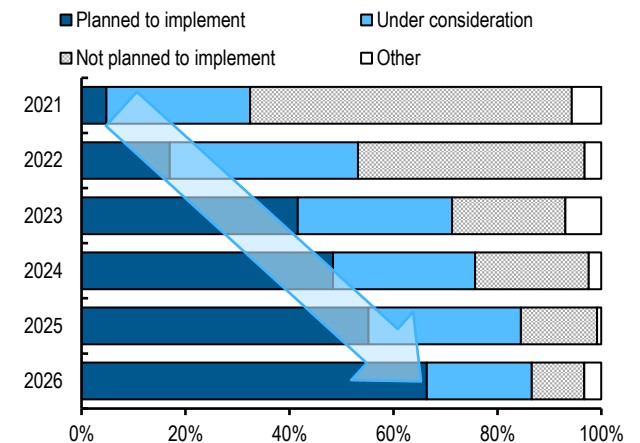
Source: Japan Research Institute, Ltd. based on data from the Cabinet Office  
Note: Real employee compensation is deflated using the household final consumption expenditure deflator.

Figure 4-2 Forecast of Real Wage Income of Employees <YoY>



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office  
Note: Real wage income of employees is deflated by consumption of households, excluding imputed rent deflator.

Figure 4-3 Planned Basic Wage Increases by Companies



Source: Japan Research Institute, Ltd. based on data from the Labor Administration Research Institute

Note: Survey of HR/ Labor Directors at listed companies and comparable unlisted companies. Survey period: Dec 2025 to mid-Jan 2026.

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# Inflation set to slow

## ◆ Energy prices are pushing down inflation

In December 2025, core inflation (all items, less fresh food) fell from the previous month, dropping to 2.4% (previous month: 3.0%). The pace of energy price growth slowed due to government measures to control prices, and inflation was also held down by moderation in the rapid rise of food prices.

Price growth is expected to slow until the middle of 2026 and then remain around 2%. Energy prices will fall significantly due to lower market prices and government measures to control prices, and food price inflation should also continue to moderate as the prices of ingredients stabilize.

However, factors such as higher personnel expenses are likely to cause service-driven inflationary pressures to intensify. In sectors such as lodging, food/beverage service, and retail, where personnel expenses account for a high proportion of intermediate inputs, price increases are expected to be sustained.

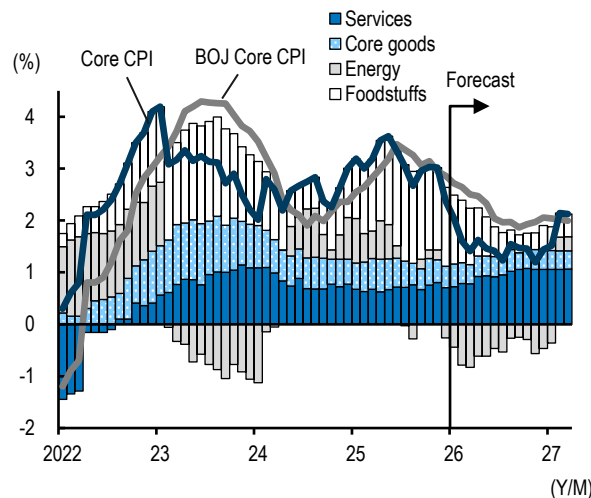
## ◆ The BOJ will continue to raise interest rates in phases

At its monetary policy meeting in January 2026, the Bank of Japan (BOJ) decided to keep its policy rate at 0.75%.

Long-term interest rates remain high. Expectations of a BOJ rate hike persist, and in the wake of the landslide victory by the Liberal Democratic Party in the lower-house election, market eyes remain on Prime Minister Takaichi's fiscal policy stance.

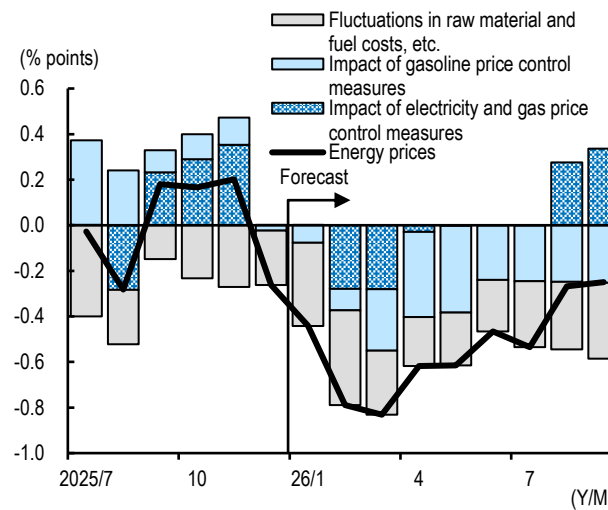
It is highly likely that the BOJ will continue to raise interest rates in stages while closely monitoring the impact on the real economy and financial/capital markets. The next rate hike is expected to be in July 2026. Long-term interest rates look likely to rise gradually, reflecting heightened anticipation of rate hikes by the BOJ and increased fiscal spending by the government. If jitters about a deterioration in fiscal discipline take hold, there is also a risk that long-term interest rates will soar.

Figure 5-1 Consumer Price Index <YoY>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

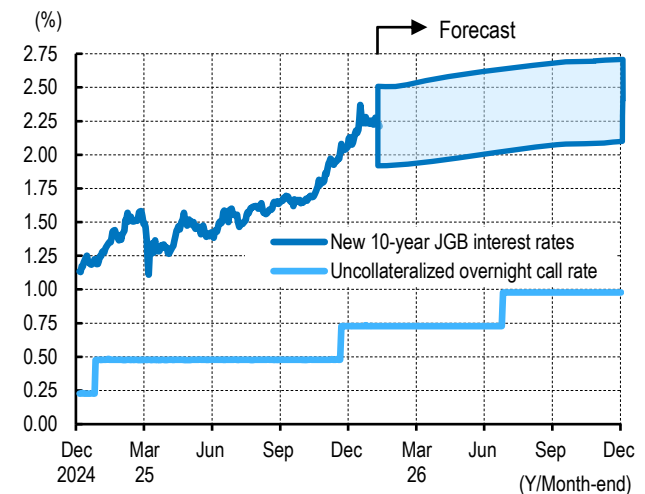
Figure 5-2 Energy's Impact on Core CPI <YoY>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Note: Electricity and gas price suppression measures incorporate effects through March 2026 usage (payment in April)

Figure 5-3 Outlook for Japan's Main Interest Rates



Source: NEEDS-FinancialQUEST

# Topic ①: Shorter equipment replacement cycles provide tailwind for capital investment

## ◆ Capital investment is moving in line with increased consumption of fixed capital

Capital investment has been solid recently. One contributing factor is replacement investment, which reflects increased consumption of fixed capital. Since the 2010s, capital investment in Japan has moved in line with increased consumption of fixed capital.

The rise in consumption of fixed capital can be attributed to the digitalization and "intangibilization" of the economy. Looking at the breakdown of corporate fixed capital stock, the share of structures and buildings has declined, while the shares of information and communication equipment and intangible assets have expanded. These assets, which are susceptible to the effects of technological innovation, become obsolete quickly, and their increasing share has pushed up the average rate of consumption, shortening the replacement cycle for assets overall.

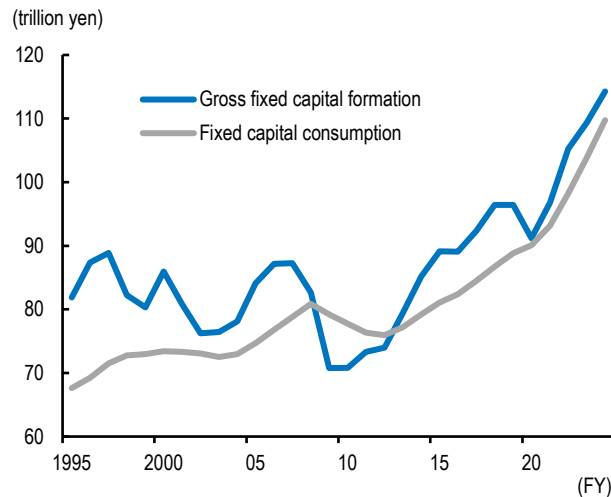
## ◆ Replacement demand will support investment in the near term

Going forward, as digitalization and technological innovation progress, the share

of assets with high consumption rates will increase, and replacement investment is also expected to rise. Companies have not wavered in their stance of investing in replacements and upgrades even during shocks such as the COVID pandemic, and higher replacement investment has the potential to moderate economic fluctuations.

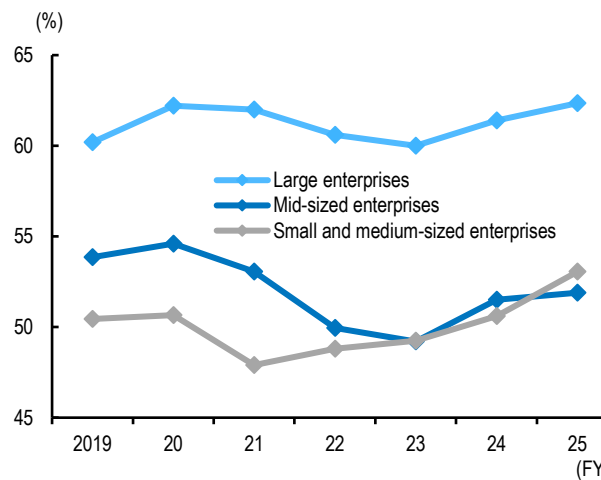
However, the productivity improvement effect of replacement investment alone is limited. Net investment, which excludes consumption of fixed capital, has not increased significantly, and the growth rate of real fixed capital stock in the 2020s has not reached the levels of the late 2010s. It has remained at a level comparable with the growth of the number of employed persons, and the capital-labor ratio (fixed capital stock per worker) has stagnated. To translate capital investment into increased labor productivity, it will be important to boost net investment and raise the capital-labor ratio.

Figure 6-1 Capital Investment and Fixed Capital Consumption (Nominal)



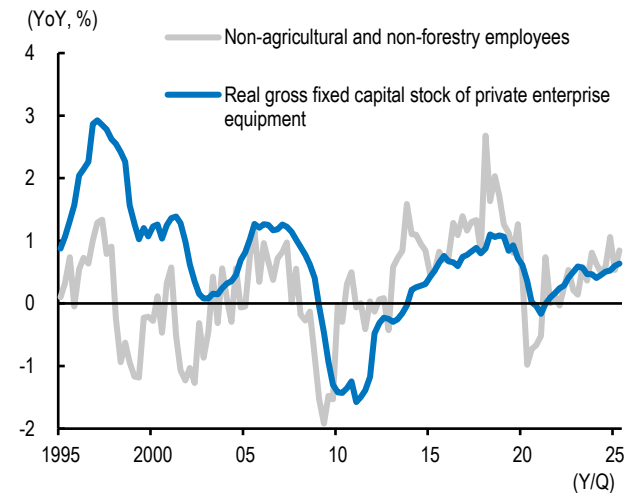
Source: Japan Research Institute, Ltd. based on data from the Cabinet Office  
Note: Both figures represent corporate equipment investment by private corporations.

Figure 6-2 Capital Investment Stance for Replacements



Source: Japan Research Institute, Ltd. based on data from the Ministry of Finance and the Cabinet Office  
Note: Percentage of companies responding "replacements" as their "investment stance" for the current fiscal year." Average of percentages from 2Q and 4Q surveys. Multiple responses allowed for up to three items out of ten.

Figure 6-3 Real Gross Fixed Capital Stock and Number of Employees



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office and Ministry of Internal Affairs and Communications



## Topic②: Is a consumption tax cut the optimal solution for supporting households?

### ◆ Consumption tax cuts were promised by various parties

In their campaigns ahead of the recent lower-house election, various parties called for consumption tax reductions. Securing the financial resources to fund a consumption tax cut presents a major challenge, and even if the money can be found, as a household support measure, a consumption tax reduction will bring with it the following problems:

### ◆ Comparisons with alternative household support measures are necessary

The first is that the cut might not be reflected in sales prices. Consumption taxes have been reduced in Europe in the past, and there were instances where sales prices did not fall by the amount of the tax reduction. In Japan, considering that price pass-through by companies to consumers is still only halfway through, there is a possibility that prices will not fall by the same percentage as the tax cut, meaning that the benefits might not reach households. Cash handouts or income tax reductions, which support households directly, would be certain to benefit them, and thus avert such a situation.

The second problem is that the cut would amplify economic fluctuations. If prices

are going to fall due to a consumption tax reduction, consumers will delay purchases until the cut takes effect, after which buying will surge. This is because of the substitution effect, whereby households prefer to consume more when the tax rate is low. If the tax cut is uniformly applied to all items, this effect will be most pronounced with durable goods, but even if only the tax on food items is reduced, it is highly likely that consumers will bring forward purchases of goods that they can stockpile, such as rice. Rapid changes in demand could disrupt supply chains, and economic assessments will become extremely difficult amid these big consumption swings, making it hard to make decisions on re-increasing the tax.

The third problem is that the redistributive effect is weak. Because consumption taxes are regressive, low-income earners benefit proportionately more from a cut (i.e., the cut represents a higher percentage of income), but the tax reduction amount is larger for high-income earners. Compared to fixed-amount benefits (which benefit low-income earners more in terms of proportion, and the reduction amount is the same for all), the redistributive function is limited. It will therefore be necessary to carefully consider consumption tax cuts in comparison with other household support measures, while keeping policy objectives in mind.

Figure 7-1 Political Parties' Stances on Consumption Tax Cuts

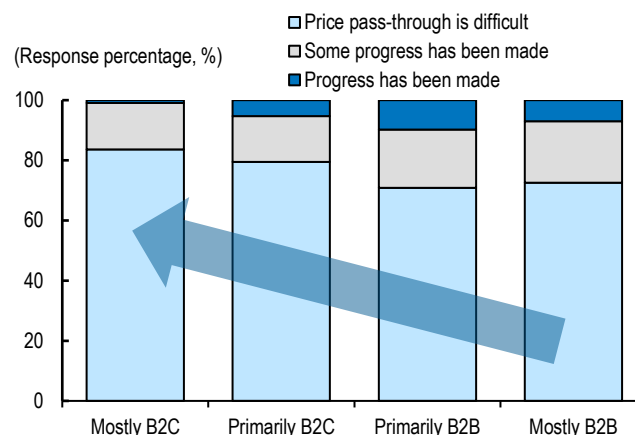
|                     | Food only                                                        | All items                                                                                                                                     |
|---------------------|------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| Permanent reduction | Centrist Reform Alliance, Japan Conservative Party: Permanent 0% | Sansei Party, Reiwa Shinsengumi, Tax Reduction Japan/ Yukoku Union, Social Democratic Party: Abolish<br>Communist Party: 5%, phased abolition |
| Temporary reduction | Liberal Democratic Party, Japan Innovation Party: 0% for 2 years | Democratic Party for the People: Temporary uniform 5%                                                                                         |

\*Team Mirai opposes consumption tax cuts.

Source: Japan Research Institute, Ltd. based on materials from each party and various news reports

Note: The 11 parties holding seats in the Diet..

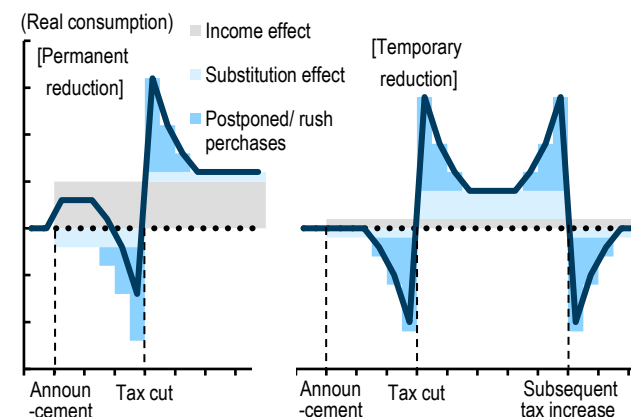
Figure 7-2 Price Pass-Through Trends Among Small and Medium-Sized Businesses



Source: Japan Research Institute, Ltd. based on data from the National Federation of Small Business Associations

Note: Based on survey results regarding wage increases, etc. (October 24 - November 14, 2025).

Figure 7-3 Conceptual Diagram of Real Consumption During Consumption Tax Cuts



Source: Japan Research Institute, Ltd. based on the following literature: Takashi Unayama [2023], Analysis of Consumer Behavior in Contemporary Japan: Current Perspectives on the Life Cycle Theory, Keio University Press

Note: Secondary demand fluctuations associated with postponement/ rush purchases are not considered..

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# The economy to gradually recover, driven by domestic demand

## ◆ Domestic demand to support the economy

The Japanese economy is expected to continue its gradual recovery going forward. Despite not particularly strong external demand, the economy will be supported by domestic demand.

As households' real purchasing power improves, personal consumption is expected to gradually rise. The inflation rate is expected to decline through the middle of 2026, centered on energy and food prices, while wage increase rates are projected to remain at relatively high levels. Labor unions are poised to demand wage increases similar to the previous year's due to persistent inflation. With labor shortages intensifying, it is expected that management will agree to their wage demands.

Capital investment also looks set to keep rising. Companies will maintain their enthusiasm for investment addressing medium-to long-term challenges such as labor saving and the digital transformation.

External demand is expected to remain firm. Although the sharp drop in the number of Chinese people visiting Japan as a result of the deterioration in Japan-China relations will weigh on external demand, the ongoing weakness of the yen will support Japan travel demand from countries other than China. In addition, solid AI-related demand worldwide is expected to lift goods exports.

## ◆ Downside risks exist domestically and internationally

Real GDP growth is projected to remain solid, registering 0.8% in FY2025 and 0.7% in FY2026.

However, there are significant downside risks both domestically and internationally. Domestic factors include 1) large-scale demand stimulus measures and 2) rising xenophobia, which could lead to supply constraints becoming tighter. This might trigger an acceleration in inflation and stagnation in corporate activity. As for international factors, there is a risk of the U.S. imposing additional tariffs if, for example, Japan's trade surplus with the U.S. continues or its investment in the U.S. falls short of the agreed target.

Figure 8 Projections for Japan's GDP Growth and Main Indicators (as of February 16, 2026)

| (seasonally adjusted, annualized % changes from the previous quarter) |          |              |        |        |        |        |        |        |        |        | (% changes from the previous fiscal year) |        |        |
|-----------------------------------------------------------------------|----------|--------------|--------|--------|--------|--------|--------|--------|--------|--------|-------------------------------------------|--------|--------|
|                                                                       | CY2025   | CY2026       |        |        |        | CY2027 |        |        |        | CY2028 | FY2025                                    | FY2026 | FY2026 |
|                                                                       | 10~12    | 1~3          | 4~6    | 7~9    | 10~12  | 1~3    | 4~6    | 7~9    | 10~12  | 1~3    |                                           |        |        |
|                                                                       | (Actual) | (Projection) |        |        |        |        |        |        |        |        | (Projection)                              |        |        |
| Real GDP                                                              | 0.2      | 1.3          | 1.3    | 1.1    | 1.0    | 0.9    | 0.8    | 0.7    | 0.7    | 0.7    | 0.8                                       | 0.7    | 0.8    |
| Private Consumption Expenditure                                       | 0.4      | 1.2          | 1.1    | 0.9    | 0.7    | 0.6    | 0.6    | 0.5    | 0.5    | 0.5    | 1.3                                       | 0.9    | 0.6    |
| Housing Investment                                                    | 20.4     | 1.1          | 0.6    | 0.0    | -0.1   | -0.3   | -0.4   | -0.5   | -0.5   | -0.5   | -3.7                                      | 0.5    | -0.4   |
| Business Fixed Investment                                             | 1.0      | 2.0          | 1.8    | 1.7    | 1.7    | 1.6    | 1.6    | 1.5    | 1.5    | 1.4    | 1.5                                       | 1.5    | 1.6    |
| Private Inventories (percentage points contribution)                  | (-0.7)   | (0.1)        | (0.0)  | (-0.0) | (-0.0) | (-0.0) | (-0.0) | (-0.0) | (-0.0) | (-0.0) | (0.1)                                     | (-0.1) | (-0.0) |
| Government Consumption Expenditure                                    | 0.6      | 0.9          | 1.0    | 1.1    | 1.1    | 1.1    | 1.0    | 1.0    | 1.0    | 1.0    | 0.5                                       | 0.9    | 1.0    |
| Public Investment                                                     | -5.1     | 0.9          | 1.0    | 1.1    | 1.2    | 1.2    | 1.2    | 1.2    | 1.2    | 1.2    | -1.8                                      | -0.0   | 1.2    |
| Net Exports (percentage points contribution)                          | (0.0)    | (-0.4)       | (-0.1) | (-0.1) | (-0.1) | (-0.0) | (-0.0) | (-0.0) | (-0.0) | (-0.0) | (-0.2)                                    | (-0.2) | (-0.0) |
| Exports of Goods and Services                                         | -1.1     | -0.2         | 1.4    | 1.3    | 1.6    | 1.7    | 1.8    | 1.8    | 1.8    | 1.8    | 1.9                                       | 0.4    | 1.7    |
| Imports of Goods and Services                                         | -1.3     | 1.8          | 1.8    | 1.8    | 1.9    | 1.9    | 1.9    | 2.0    | 2.0    | 2.0    | 2.9                                       | 1.3    | 1.9    |

| (% changes from the same quarter of the previous year) |     |     |     |     |     |     |     |     |     |     | (% changes from the previous fiscal year) |     |     |
|--------------------------------------------------------|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-------------------------------------------|-----|-----|
| Nominal GDP                                            | 3.4 | 2.7 | 2.3 | 3.7 | 3.0 | 3.7 | 3.6 | 3.6 | 3.7 | 3.8 | 3.9                                       | 3.2 | 3.7 |
| GDP deflator                                           | 3.4 | 2.1 | 2.2 | 2.7 | 2.0 | 2.7 | 2.7 | 2.8 | 2.9 | 3.1 | 3.0                                       | 2.4 | 2.9 |
| Consumer Price Index (excluding fresh food)            | 2.8 | 1.7 | 1.5 | 1.4 | 1.4 | 1.9 | 1.8 | 1.8 | 2.0 | 2.1 | 2.7                                       | 1.6 | 1.9 |
| Unemployment Rate (%)                                  | 2.6 | 2.6 | 2.6 | 2.6 | 2.6 | 2.5 | 2.5 | 2.5 | 2.5 | 2.5 | 2.5                                       | 2.6 | 2.5 |
| Exchange Rates (JY/US\$)                               | 154 | 155 | 155 | 153 | 154 | 152 | 150 | 151 | 152 | 150 | 152                                       | 154 | 151 |
| Import Price of Crude Oil (US\$/barrel)                | 71  | 64  | 60  | 58  | 56  | 55  | 54  | 55  | 56  | 56  | 71                                        | 57  | 55  |

Sources: Cabinet Office; Ministry of Internal Affairs and Communications; Ministry of Economy, Trade and Industry; Ministry of Finance  
The projection figures are based on those from the Japan Research Institute, Ltd.

# ASIA MONTHLY

## March 2026

|               |                                                                              |          |
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This report is the revised English version of the March 2026 issue of the original Japanese version (published 27th Feb.).

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## Topics *Production shift to Asia ex-China surging under Trump 2.0*

Since Donald Trump returned to the U.S. presidency, the transfer of notebook PC and smartphone production from China to Vietnam, India, and Thailand has picked up speed. The momentum of production relocation from China to other Asian countries is expected to continue going forward.

### ■ The U.S. import market is being transformed by the Trump administration's policies

After assuming power, the second Trump administration rolled out a range of tariff policies in a short period. This report analyzes what changes have occurred in the U.S. trade structure and Asian supply chains under the second Trump administration, comparing current trends against those during and after the first Trump administration.

Let us begin by examining how each economy's share of U.S. imports changed across two periods: 1) from 2017 when the first Trump administration began, through 2024 as the Biden administration ended (below, "Trump's first term"), and 2) since 2025 when the second Trump administration began (below, "Trump's second term").

During Trump's first term, tariffs on China were raised in stages, and U.S. imports from China gradually declined. As a result, China's share of U.S. imports fell by more than eight percentage points over this period, while the shares of Vietnam, the European Union, Mexico, and Taiwan increased.

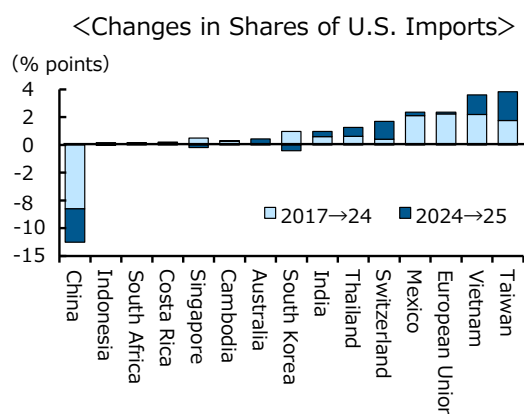
In Trump's second term, reciprocal tariffs targeting virtually every country/territory were introduced, and uniform product-specific tariffs on items such as automobiles and copper were also added. However, in terms of effective tariff rates, the increase in duties on Chinese goods has been particularly sharp. This is because tariffs imposed on China as a penalty for its role in the trade in illicit drugs are layered on top of the other tariffs. Electronic devices and components have also been subject to tariffs. Reciprocal tariffs, by contrast, generally do not overlap with other tariffs, and electronic devices and components are excluded. As a result, China's share of U.S. imports has declined further during Trump's second term, while the shares of Taiwan, Vietnam, Thailand, and India have risen.

### ■ Moves to transfer production from China to other Asian economies are accelerating

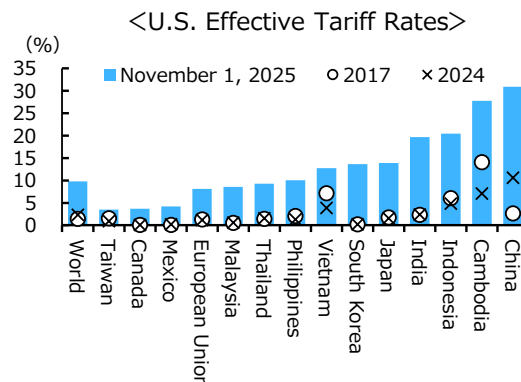
One factor behind the changes in U.S. import shares is that, against the backdrop of the Trump administration's hardline stance toward China, global companies have accelerated their moves away from China and relocated production capacity to other countries/territories. Next, let us analyze the trends in such production transfers.

Since amounts of relocated production cannot be directly observed, we will define product categories where China's exports to the U.S. have fallen while exports from other countries/territories have risen as product categories where production relocation has occurred, and compile figures for them for Trump's first term and second term, respectively. In doing so, for each country/territory, the portion of export growth attributable to increased U.S. demand will be excluded.

The results show that the total amounts transferred were \$125.3 billion during Trump's first term and \$88.3 billion during his second term. Given relocation equivalent to 70% of the total during the entire seven



Source: JRI based on U.S. Department of Commerce  
Note: Figures for 2025 are for January-November.



Source: JRI based on U.S. Department of Commerce

years of “Trump's first term” has already occurred in under a year during “Trump's second term”, we can say that the momentum to relocate production has accelerated sharply. However, differences exist in terms of both the destination countries/territories and the product categories involved. We will examine these below.

Across both Trump's “first term” and “second term”, other Asian countries have accounted for a large share of production transfers from China, expanding from 70% in the first term to 80% in the second. However, the leading destinations have changed. Whereas Vietnam, Mexico, and Taiwan, in that order, ranked highest during the first term, the top destinations in the second term are Vietnam, followed by India, and then Thailand. The combined share of these last three countries rose from 40% in the first term to 60% in the second term, with Vietnam alone capturing approximately 40% of all production relocated from China.

By product category, electronic devices have topped the relocation rankings across both terms. However, the composition has shifted. While routers accounted for the largest share in the first term, notebook PCs and smartphones saw marked increases in the second term, with these two categories alone accounting for more than 40% of the total amount transferred. In the first term, even the top ten product categories combined accounted for less than 40% of the total, indicating that in the second term, production relocation has become concentrated in a narrow range of electronic devices.

#### <Shares of Destinations for Transfer of Production from China>

(%)

| "Trump's first term" |      | "Trump's second term" |      |
|----------------------|------|-----------------------|------|
| Vietnam              | 25.8 | Vietnam               | 37.5 |
| Mexico               | 12.1 | India                 | 17.0 |
| Taiwan               | 11.8 | Thailand              | 10.0 |
| Other                | 10.2 | Other                 | 8.8  |
| Thailand             | 8.2  | Mexico                | 6.5  |
| European Union       | 7.9  | European Union        | 4.2  |
| India                | 6.9  | South Korea           | 3.3  |
| South Korea          | 4.3  | Japan                 | 2.9  |
| Malaysia             | 4.0  | Malaysia              | 2.9  |
| Indonesia            | 3.2  | Indonesia             | 2.5  |
| Canada               | 3.1  | Taiwan                | 2.4  |
| Philippines          | 1.3  | Canada                | 1.5  |
| Japan                | 1.1  | Philippines           | 0.7  |
| Asia                 | 65.5 | Asia                  | 76.2 |

Source: JRI based on U.S. Department of Commerce

Note: Figures for Asia are totals for India, Taiwan, South Korea, and the ASEAN5.

#### <Top Ten Product Categories for Production Transfer from China>

| "Trump's First Term"     |                                          |                                    |                       |           | "Trump's Second Term"    |                               |                                    |                       |           |
|--------------------------|------------------------------------------|------------------------------------|-----------------------|-----------|--------------------------|-------------------------------|------------------------------------|-----------------------|-----------|
| HS Code                  | Product Category                         | Amount Transferred (\$100 million) | Effective Tariff Rate |           | HS Code                  | Product Category              | Amount Transferred (\$100 million) | Effective Tariff Rate |           |
|                          |                                          |                                    | For China             | For Other |                          |                               |                                    | For China             | For Other |
| 851762                   | Routers                                  | 153                                | 8.4                   | 0         | 847130                   | Notebook PCs                  | 215                                | 7.5                   | 0.2       |
| 847330                   | Computer Components                      | 86                                 | 3.6                   | 0         | 851713                   | Smartphones                   | 156                                | 12.9                  | 0.1       |
| 847130                   | Notebook PCs                             | 46                                 | 0                     | 0         | 950450                   | Game Consoles                 | 31                                 | 10.0                  | 12.8      |
| 852351                   | Solid-state Non-volatile Storage Devices | 40                                 | 6.4                   | 0         | 850760                   | Lithium Ion Batteries         | 22                                 | 21.5                  | 11.0      |
| 847150                   | Other Computers                          | 38                                 | 19.5                  | 0         | 300490                   | Other Pharmaceuticals         | 20                                 | 5.5                   | 0.1       |
| 851713                   | Smartphones                              | 29                                 | 0                     | 0         | 851762                   | Routers                       | 17                                 | 23.7                  | 0.6       |
| 940161                   | Upholstered Chairs                       | 20                                 | 18.8                  | 0         | 852852                   | Other Monitors                | 15                                 | 13.4                  | 0.2       |
| 847170                   | Memory Devices                           | 19                                 | 8.6                   | 0         | 851830                   | Headphones/Earphones          | 12                                 | 16.7                  | 9.1       |
| 850440                   | Static Converters                        | 18                                 | 21.8                  | 0         | 853224                   | Multilayer Ceramic Capacitors | 8                                  | 2.9                   | 1.6       |
| 940360                   | Other Wooden Furniture                   | 18                                 | 24.0                  | 0         | 847330                   | Computer Components           | 8                                  | 13.2                  | 0.2       |
| Total Amount Transferred |                                          | 1,253                              |                       |           | Total Amount Transferred |                               | 883                                |                       |           |

Source: JRI based on U.S. Department of Commerce

Note: For product categories that did not exist in 2017, amounts for equivalent 2024 categories have been multiplied by 2024 shares. Effective tax rates are for 2024 for Trump's first term and for 2025 (January-November) for Trump's second term.

Two factors explain why these products saw faster shifts in production in the second term: 1) Since the first term, global companies had been expanding notebook PC and smartphone assembly operations outside China, and 2) in the second term, only Chinese-made products became subject to tariffs, making them more expensive relative to goods from other countries/territories.

With production of notebook PCs primarily shifting to Vietnam and Thailand, and smartphone production to India and Vietnam, the overall driver in the second term is the relocation of notebook PC and smartphone production from China to Vietnam, India, and Thailand.

■ **Production transfers to Asia ex-China will continue going forward**

Production relocation from China to other parts of Asia is likely to continue in the near term, centered on electronic devices. This is because while the U.S.-China trade conflict is currently in a temporary truce, the possibility of the U.S. once again steeply raising tariffs on Chinese goods continues to simmer, making it risky for global companies to concentrate production in China.

Vietnam and India are among the leading relocation destination candidates, and the countries/territories currently receiving transfers of production from China are expected to continue to benefit from this trend. Their strengths are likely to include the significant industrial clustering in electronics and other sectors that has already occurred through prior relocation, as well as their low labor costs.

**(Tomohiro Hosoi)**

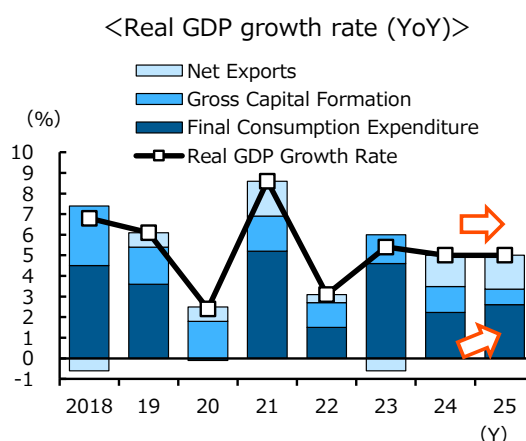
## Topics *Interpreting consumption growth in last year's Chinese GDP data*

China achieved its GDP growth target for 2025, with a significant contribution coming from an expansion in final consumption expenditure. However, the figure was elevated by government support and financial factors, and the actual situation with consumption differs from what the GDP data would suggest.

### ■ Final consumption expenditure's contribution to GDP growth expanded in 2025

China's real GDP growth rate last year came in at 5.0%, a pace similar to that of the previous year and meeting the government's target of "around 5%." Breaking down the components, external demand maintained similarly strong growth to the previous year, despite the headwind of the Trump tariffs.

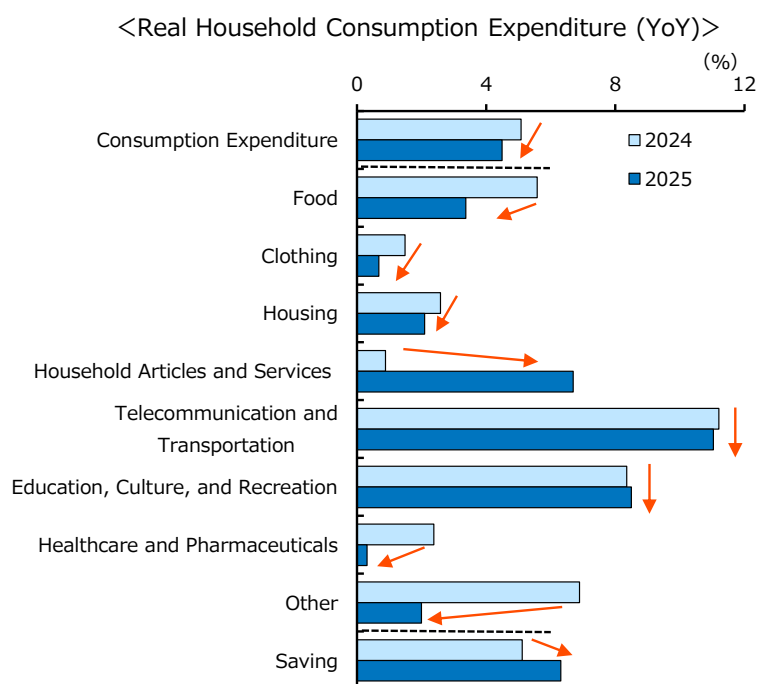
As for domestic demand, while the growth of gross capital formation, which reflects investment trends, slowed sharply, real GDP growth was supported by an expanded contribution from final consumption expenditure. That said, consumer confidence in China has remained sluggish since the COVID pandemic, and consumption does not seem particularly robust. This report examines whether last year's consumption growth can be viewed as indicative of a genuine recovery, as the GDP statistics would suggest.



### ■ Factors that drove the expansion of final consumption expenditure

China's preliminary GDP statistics broken down by demand component include only the real GDP growth rate and the contribution of each demand component to that rate. The breakdown of demand comprises just three categories: final consumption expenditure, gross capital formation, and net exports. At this preliminary stage, more detailed breakdowns and the monetary values of individual demand components are not provided. The final consumption expenditure analyzed in this report consists of household consumption and government consumption, but the exact breakdown is currently unknown. Household survey statistics are therefore used to examine trends in household consumption.

Looking at real household consumption expenditure, growth has slowed overall. An examination of trends by spending category reveals that the margin of positive growth narrowed across eight categories, including food and clothing, with household



Source: JRI based on CEIC

Note: Figures are converted into real terms using the CPI. Saving is the difference between disposable income and consumption expenditure.



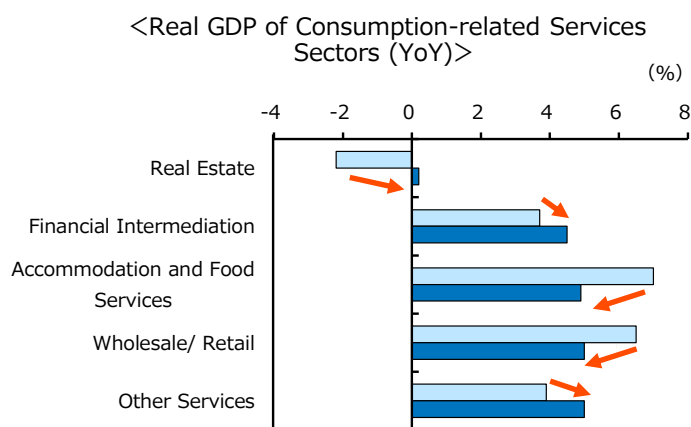
articles and services the only category to see a significantly larger positive margin. Since this category includes various home appliances, it has likely been boosted by the government's subsidies for the replacement of durable consumer goods.

In tandem with the overall slowdown in consumption spending, household saving has also been growing at a faster pace. Here, saving is calculated as disposable income minus consumption expenditure, and includes not only bank deposits but also investment in securities and payments of insurance premiums. Some of the saving-oriented spending and associated fee payments are partially counted as final consumption expenditure in the GDP statistics. Around the middle of last year, stock prices climbed, and there was a renewed slowdown in real-estate prices. Investment in equities and insurance expanded as a result, and brokerage commissions and insurance premium payments seem to have contributed to inflating the final consumption expenditure figures. Viewed from the

production side, this spending is recorded under financial intermediation GDP, and roughly 90% of that sector's GDP is classified as final consumption expenditure on the demand side. Real GDP growth in financial intermediation accelerated last year, further confirming that the aforementioned increase in saving-oriented spending has contributed to the expansion of final consumption expenditure.

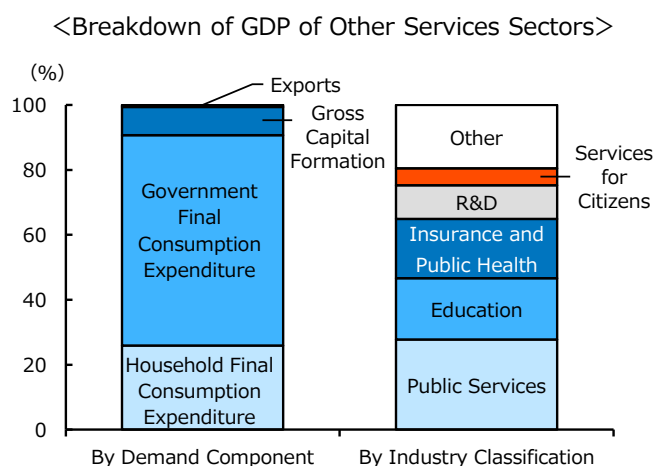
Looking at real GDP growth by sector, it can be seen that the real GDP of the real estate sector switched from negative growth the year before to modest positive growth last year. This likely reflected a temporary recovery in housing sales in the first half of last year, which resulted in a modest increase in payments of real-estate sales commissions. Since approximately 80% of the real estate sector's GDP is also classified as final consumption expenditure, this effect may have been another factor that drove final consumption expenditure growth yet does not appear in household survey data. However, the housing market has deteriorated significantly since the second half of last year, so this effect should have already faded.

As noted above, while there were special factors related to finance and real estate last year, household consumption as a whole has seen its positive growth margin narrow. It can therefore be inferred that the largest factor supporting growth in final consumption expenditure is expanding government consumption. This trend is evident in real GDP growth expansion in other services sectors. A more granular examination of these sectors' GDP by demand component and industry classification reveals that they are dominated by government spending in areas such as public services, education, and healthcare. Indeed, looking at general government budget expenditure, while total spending last year saw its margin of positive growth narrow, spending related to the aforementioned areas of education, healthcare, and public services expanded.



Source: JRI based on CEIC

Note: Excludes information/communications; cargo, warehousing, and mail; and leasing and commercial services, as their shares of final consumption expenditure are small.



Source: JRI based on CEIC and National Bureau of Statistics

Note: As of 2023. Based on input-output tables.

**■ Government support is shoring up weak household consumption**

In light of the above, it is clear that the growth in final consumption expenditure last year was largely attributable to factors other than a self-sustaining recovery driven by rising household incomes or higher propensity to consume. Key contributing factors included 1) higher spending on goods such as home appliances as a result of durable goods replacement subsidies, 2) expansion of saving-oriented spending due to subdued appetite for consumption, and 3) increased government spending in areas such as education and healthcare. This situation is consistent with current realities, i.e., a soft employment environment as reflected in rising youth unemployment, the associated stagnation of consumer confidence, and the continuing negative wealth effect of the real-estate downturn. Without government support, the situation with consumption in China will probably deteriorate further. With a self-sustaining consumption expansion looking unlikely, current levels of government support appear insufficient. For example, the budget for this year's durable goods replacement subsidies may be reduced. In assessing the outlook for consumption, a key question will be whether large-scale additional measures to support consumption will be announced ahead of the National People's Congress, which is set to take place in March.

**(Shota Muromoto)**